

Independent Auditor's Review Report on Consolidated unaudited quarterly and year to date financial results of M/s AVANTEL Limited pursuant to the Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015

**TO THE BOARD OF DIRECTORS OF
AVANTEL LIMITED**

1. We have reviewed the accompanying Statement of Consolidated Unaudited Financial Results of **AVANTEL Limited** ("the Parent") and its subsidiary (the Parent and its subsidiary together referred to as "the Group"), for the quarter ended 30th September, 2021 and for the period from 1st April, 2021 to 30th September, 2021 ("the Statement"), being submitted by the Parent pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations 2015, as amended.
2. This Statement, which is the responsibility of the Parent's Management and approved by the Parent's Board of Directors, has been prepared in accordance with the recognition and measurement principles laid down in Indian Accounting Standard 34 "Interim Financial Reporting" ("Ind AS 34"), prescribed under Section 133 of the Companies Act, 2013, and other accounting principles generally accepted in India. Our responsibility is to express a conclusion on the Statement based on our review.
3. We conducted our review of the Statement in accordance with the Standard on Review Engagements (SRE) 2410 "Review of Interim Financial Information Performed by the Independent Auditor of the Entity", issued by the Institute of Chartered Accountants of India. A review of interim financial information consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit conducted in accordance with Standards on Auditing and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

We also performed procedures in accordance with the circular issued by the SEBI under Regulation 33 (8) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, to the extent applicable.



4. The Statement includes the results of the following entity:

iMeds Global Private Limited, India

5. Based on our review conducted and procedures performed as stated in paragraph 3 above and based on the consideration of the review reports of the branch auditors and other auditors referred to in paragraph 6 below, nothing has come to our attention that causes us to believe that the accompanying statement, prepared in accordance with the recognition and measurement principles laid down in the aforesaid Indian Accounting Standard and other accounting principles generally accepted in India, has not disclosed the information required to be disclosed in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, including the manner in which it is to be disclosed, or that it contains any material misstatement.
6. The consolidated un audited financial results includes the financial results of the subsidiary which have not been reviewed by their auditors, whose financial results reflect total revenue of Rs. Nil Lakhs for the quarter ending 30th September, 2021 and Rs. Nil Lakhs for the half year ending 30th September, 2021, total net profit/(loss) after tax of Rs. (5.83) Lakhs for the quarter ending 30th September, 2021 and Rs. (5.83) Lakhs for the half year ending 30th September, 2021, total comprehensive income/loss of Rs. (5.83) Lakhs for the quarter ending 30th September, 2021 and Rs. (5.83) Lakhs for the half year ending 30th September, 2021, and Cash flows (net) of Rs. 185.17 lakhs for the period from 1st April, 2021 to 30th September, 2021, as considered in the consolidated unaudited financial results. According to the information and explanations given to us by the Management, these financial results are not material to the Group.

Our conclusion on the Statement is not modified in respect of the above matter.

For Grandhy & Co.

Chartered Accountants

FRN:001007S



(Naresh Chandra Gelli)

Partner

ICAI Membership: No.201754

UDIN: 21201754AAAABF8204

Place: Hyderabad

Date: 28th October, 2021



AVANTEL LIMITED

Registered Office : SY No. 141, Plot No. 47/P, Industrial Park, Gambheeram (V), Anandapuram (M), Visakapatnam - 531163, Andhra Pradesh
CIN: L72200AP1990PLC11334

Statement of Consolidated Un-Audited Financial Results for the Quarter and Half Year Ended September 30,2021

Particulars	Quarter Ended			Half Year Ended		(in ₹ Lakhs)
	September 30,2021	June 30,2021	September 30,2020	September 30,2021	September 30,2020	Year ended March 31,2021
	Un Audited	Un Audited	Un Audited	Un Audited	Un Audited	Audited
Income						
Revenue from operations	1543.63	1371.54	1251.54	2915.17	2364.56	7769.60
Total Revenue from operations	1543.63	1371.54	1251.54	2915.17	2364.56	7769.60
Other income	41.34	32.64	13.07	73.98	29.72	87.31
Total Income	1584.97	1404.18	1264.61	2989.15	2394.28	7856.91
Expenses						
Cost of materials consumed	902.68	294.42	1123.91	1197.10	1443.97	2657.08
Changes in inventories	(489.23)	37.82	(1104.81)	(451.40)	(1040.33)	41.81
Employee benefits expense	298.00	270.96	261.34	568.95	464.73	1035.65
Finance costs	30.79	34.51	36.98	65.31	70.63	151.39
Depreciation and amortization expense	96.90	90.73	75.04	187.62	146.74	303.15
Other expenses	326.79	302.43	472.51	629.21	732.30	1817.49
Total Expenses	1165.93	1030.87	864.97	2196.79	1818.04	6006.57
Profit before tax	419.04	373.31	399.64	792.36	576.24	1850.34
Tax expense						
(1) Current tax	74.85	65.96	70.69	140.81	102.51	351.46
(2) Deferred tax	-	-	-	-	-	(34.49)
Net Profit for the Period	344.19	307.35	328.95	651.55	473.73	1533.37
Other comprehensive income (OCI)						
(a) (i) Items that will not be reclassified to profit	-	-	-	-	-	8.01
(ii) Tax on items that will not be reclassified profit or loss	-	-	-	-	-	(3.73)
(b) (i) Items that will be reclassified to profit or loss	-	-	-	-	-	-
(ii) Income tax relating to items that will be reclassified to profit or loss	-	-	-	-	-	-
Total Other Comprehensive income	-	-	-	-	-	4.28
Total Comprehensive income	344.19	307.35	328.95	651.55	473.73	1537.65
Earnings per equity share (Face value of Rs.10/- each)						
(1) Basic	8.49	7.58	8.11	16.07	11.68	37.92
(2) Diluted	8.49	7.58	8.11	16.07	11.68	37.92

For AVANTEL Limited



Managing Director

Avantel Limited

Registered Office

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Corporate Office

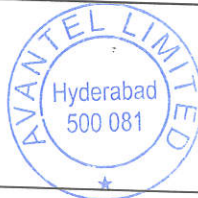
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Avantel Limited Unaudited Consolidated Statement of Assets and Liabilities as at September 30, 2021			(in ₹ Lakhs)
Particulars	As at September 30, 2021	As at March 31, 2021	
	Un Audited	Audited	
ASSETS			
Non-current assets			
(a) Property, Plant and Equipment	1,359.91	1,339.97	
(b) Capital work-in-progress	136.15	73.64	
(c) Right-to-use Asset	241.82	262.55	
(d) Other intangible assets	-	-	
(e) Financial Assets	-	-	
(i) Investments	-	-	
(ii) Trade Receivables	-	-	
(iii) Loans	-	5.72	
(iv) Others	-	-	
(f) Deferred tax Assets (net)	40.12	519.76	
(g) Other non-current Assets	-	-	
Current Assets			
(a) Inventories	1,534.37	251.43	
(b) Financial Assets	-	-	
(i) Investments	-	-	
(ii) Trade Receivables	2,052.60	1,306.98	
(iii) Cash & Cash Equivalents	294.71	80.20	
(iv) Bank Balances other than (iii) above	2,304.24	4,216.85	
(v) Loans	-	-	
(iv) Others	-	-	
(Int accrued on employee loans & term deposits)	75.69	66.59	
(c) Current Tax Assets	-	-	
(d) Other Current Assets	137.85	22.65	
Total	1,437.81	530.01	
EQUITY AND LIABILITIES	9,615.27	8,676.35	
Equity			
(a) Equity Share Capital	405.51	405.51	
(b) Other Equity	6,707.83	6,218.46	
Liabilities			
Non-current liabilities			
(a) Financial Liabilities			
(i) Borrowings	-	-	
(ii) Trade Payables	-	-	
(iii) Other Financial Liabilities	-	-	
(b) Provisions	-	-	
(c) Other non-current liabilities	15.00	8.41	
(d) Deferred Tax Liability (Net)	293.26	306.28	
Current liabilities			
(a) Financial Liabilities			
(i) Borrowings	-	-	
(ii) Trade payables	-	-	
-Total outstanding dues of Micro enterprises and small enterprises	223.44	18.27	
-Total outstanding dues of creditors other than micro enterprises and small enterprises	42.55	14.49	
(iii) Other Financial Liabilities	1,538.55	1,621.92	
(b) Provisions	-	-	
(c) Current Tax Liabilities	140.81	-	
(d) Other current liabilities	177.18	11.87	
Total Equity and Liabilities	9,615.27	8,676.35	

Place: Hyderabad
Date: 28.10.2021



for and on behalf of Avantel Limited

A. Vidyasagar
A. VIDYASAGAR
Managing Director

Avantel Limited

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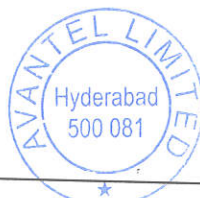
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Avantel Limited Unaudited Consolidated Cash Flow Statement For The half year ended September 30, 2021		
Particulars	(in ₹ Lakhs)	
	For the half year ended September, 2021	For the year ended March 31, 2021
	Un Audited	Audited
Cash flow from operating activities		
Profit before income tax from		
Continuing operations	792.36	1,850.34
Discontinued operations	-	-
Profit before income tax including discontinued operations	792.36	1,850.34
Adjustments for		
Depreciation and amortisation expense	187.62	303.15
Gain on disposal of property, plant and equipment	-	-
Written off assets	-	0.21
Dividend and interest income classified as investing cash flows	(65.28)	(78.61)
Finance costs	65.31	151.39
Other Comprehensive Income	-	8.01
Change in operating assets and liabilities, net of effects from purchase of controlled entities and sale of subsidiary:	980.01	2,234.49
(Increase)/decrease in trade receivables	(739.90)	1,694.30
(Increase)/decrease in inventories	(1,282.94)	257.50
(Increase)/decrease in other financial assets	(9.10)	(13.91)
(Increase)/decrease in other non-current assets	-	-
Increase/(decrease) in trade payables	(907.80)	55.49
Increase/(decrease) in provisions	233.23	(122.70)
Increase/(decrease) in other current liabilities	6.59	(29.16)
Increase/(decrease) in financial liabilities	165.31	(63.53)
Increase/(decrease) in other non current liabilities	(83.37)	805.59
Cash generated from operations	-	-
Income taxes paid	(1,637.97)	4,818.07
Net cash inflow from operating activities	(116.53)	(352.88)
	(1,754.50)	4,465.19
Cash flows from investing activities		
Payments for property, plant and equipment	(186.82)	(494.44)
Increase in Capital Work in Progress	(62.51)	(73.64)
Increase in Term deposits	2,392.24	(3,688.96)
Proceeds from sale of property, plant and equipment	-	10.80
Interest received	65.28	78.61
Net cash outflow from investing activities	2,208.20	(4,167.63)
Cash flows from financing activities		
Increase/(decrease) in borrowings	-	-
Interest paid	(46.83)	-115
Payment of lease obligations	(30.18)	-58
Dividends paid to Company's share holders	(162.18)	(81.09)
Net cash inflow (outflow) from financing activities	(239.19)	(254.56)
Net increase (decrease) in cash and cash equivalents	214.51	43.00
Cash and cash equivalents at the beginning of the financial year	80.20	37.20
Effects of exchange rate changes on cash and cash equivalents	-	-
Cash and cash equivalents at end of the year	294.71	80.20

for and on behalf of Avantel Limited

Place: Hyderabad
Date: 28.10.2021



A.VIDYASAGAR
Managing Director

Avantel Limited

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Notes to the Statement of Consolidated financial Results

1. The financial results of the company have been prepared in accordance with Indian Accounting Standards (Ind AS) notified under the companies (Indian Accounting standards) Rules, 2015 as amended by the companies (Indian Accounting standards) (Amendment) rules, 2016.
2. Since the principal customer of the company is an organisation that is controlled by the Government of India, the company has been assured of its Receivables and has not made any provision for loss allowance in the past and as on date. Hence the company has concluded that no provision for loss allowance needs to be made as on September 30, 2021. The company will reassess the model periodically and make the necessary adjustments for loss allowance if any, on case to case basis if required.
3. The Standalone financial results are reviewed by the Statutory Auditors of the Company as per Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirement) Regulations, 2015.
5. The company operates in a single segment and results pertain to a single segment.
6. Estimation uncertainty relating to the global health pandemic on COVID-19
In assessing the recoverability of receivables, the Company has considered internal and external information upto the date of approval of these financial results including credit reports and economic forecasts. The Company has performed sensitivity analysis on the assumptions used and based on current indicators of future economic conditions, the Company expects to recover the carrying amount of these assets. The impact of the global health pandemic may be different from that estimated as at the date of approval of these financial results and the Company will continue to closely monitor any material changes and future economic conditions.
6. The aforementioned results are reviewed by the Audit Committee of the Board and subsequently taken on record by the board of directors at its meeting held on 28th October, 2021.
7. Figures for the previous year/period have been regrouped / reclassified where ever necessary to confirm to the current year's / period's presentation .
8. The results for the half-year ended 30th September, 2021 are also available on the Bombay Stock Exchange website and on the Company's website.

Place: Hyderabad
Date : 28-10-2021



for Avantel Limited


(A Vidyasagar)
Chairman & Managing Director
DIN: 00026524

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